might switch from using the exchange's proprietary data feeds to consolidated market data, providing an incentive for exchanges to not create a slower dedicated core data feed.

One commenter said that one of the exchanges "invested $4 million to build a new, dedicated network for consolidated tape data that will allow exchanges and subscribers to access CTA SIP data more quickly" [2303] and that this investment is undermined with the discontinuation of the centralized consolidation model.[2304] The Commission understands that the commenter was planning to recover that investment cost with future revenue. The Commission acknowledges that the final amendments will impose a cost for SROs from losing SIP data content and access fees. However, the Commission believes that this loss of revenue will be offset by the data content and access fees paid to SROs by competing consolidators. Additionally, the exclusive SIPs' loss of consolidation and dissemination revenue will be mitigated by the opportunity to become competing consolidators.

One commenter stated that the rules would "eliminate" the incentive for exchanges to compete for order flow in order to increase the amount of time that exchange offers the NBBO and thus increase its share of the equity plan(s) revenues, because the rule eliminates the exclusive SIPs.[2305] The Commission disagrees with this commenter's description of the effects of the rule. Nothing about the final rules prohibits the national market system plan(s) from continuing to share NMS data revenues according to rules that reward exchanges for time during which the exchange has the NBBO quote. Further, any changes to the revenue allocation formula can be adopted as Plan amendments, which would then have to be filed with the

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2303 See NYSE Letter II at 10–11.

2304 See id. at 13.

2305 See Nasdaq Letter IV at 29.

Commission pursuant to Rule 608 and would be subject to notice and comment and Commission review. Therefore, the Commission does not believe that these rules will effect exchange incentives to compete for order flow in the way described by this commenter.

(vi) Multiple NBBOs

Finally, the Commission recognizes that the decentralized consolidation model may result in multiple NBBO quotes observed by different market participants due to different aggregation methods used by competing consolidators. However, currently market participants may already observe multiple NBBO quotes.[2306] Therefore, the Commission believes that the decentralized consolidation model will result in no meaningful difference with respect to the existence of multiple NBBOs.

Several commenters disagreed with this conclusion, raising concerns related to the possibility of multiple NBBOs being observed as a result of the final rules.[2307] In particular, commenters expressed the view that there would be significant costs to the market as a result of this possibility and expressed concern that these costs were not discussed in the Commission's proposal.[2308] These commenters stated that the emergence of multiple NBBOs would complicate

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2306 See supra Sections V.B.2(b), V.B.2(f).

2307 See supra Section III.B.10(b) for a discussion of the comments on complexity and confusion resulting from multiple NBBOs.

2308 See, e.g., Joint CRO Letter at 2 ("Moreover, we are surprised and concerned by the Commission's limited analysis of the Proposal's potential downstream impacts on the regulation of U.S. markets, particularly those resulting from multiple competing consolidators and self-aggregators, as this analysis appears incomplete.").

market structure;[2309] hinder market surveillance and enforcement by SROs, including by adding reprogramming costs for surveillance systems and creating the likelihood of uneven enforcement; [2310] decrease the accuracy and standardization of Rule 605 statistics;[2311] introduce new sources of differing NBBOs through differences in NBBO calculation method among competing consolidators;[2312] confuse investors, including retail investors, who might see more than one NBBO for the same stock at the same time;[2313] and complicate and increase the cost of compliance with best execution obligations.[2314]

The Commission continues to believe that the possibility of multiple NBBOs resulting from the decentralized consolidation model does not represent a significant cost. In the case of each specific issue raised, the potential difficulties that multiple NBBOs could create are already

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2309 See, e.g., Nasdaq Letter IV at 3 ("A particularly worrisome result is that product differentiation among competing consolidators will render a single "gold source" National Best Bid and Offer ("NBBO") a relic of the past."); Angel Letter at 18–19.

2310 See, e.g., Nasdaq Letter IV at 37 ("Even with these changes, the risk of differential treatment among similarly situated market participants will increase because an NBBO that applies to one market participant will simply not apply to another, creating a risk of uneven enforcement of the Exchange Act by introducing the subjective review of which NBBO to apply."), Joint CRO Letter at 4 ("Throughout the Proposal, hundreds of questions are posed to commenters, but none solicited feedback from SROs on the Proposal's impact on surveillance, any increased risk to investor protection, or whether reprogramming our systems to accommodate the proposed rules would create any burdens or complications for us.").

2311 See, e.g., Nasdaq Letter IV at 20; NYSE Letter II at 24.

2312 See, e.g., TD Ameritrade Letter at 12.

2313 See, e.g., Fidelity Letter at 10; TechNet Letter II at 2.

2314 See, e.g., Nasdaq Letter IV at 3.

handled by the market (including SROs) today, because of the fact that multiple NBBOs at a given instant in time are a staple of today's financial markets.[2315]

Specifically, the Commission does not believe that the potential for multiple NBBOs as a result of the decentralized consolidation model will complicate market structure. The market today has already developed adaptations to deal with the fact that meaningful differences in the observations of market participants about the prevailing NBBO can emerge. [2316] As a result, the market structure in place today will be able to handle the potential multiple NBBOs resulting from the decentralized consolidation model in much the same way as it handles existing multiple NBBOs today.

The Commission believes that the decentralized consolidation model will not increase costs or impair the evenness of enforcement and surveillance by SROs. The fact that order routing decisions made at the same time but at different data centers will necessarily be based on different observations of the market is understood by SROs today, and surveillance programs and enforcement inspections already take this into account.[2317] In fact, such programs already deal with the even larger discrepancy in market snapshots that emerge from the use of proprietary data feeds as a substitute for SIP data feeds in the routing of orders.[2318]

The Commission does not believe that the decentralized consolidation model will contribute to confusion or a lack of standardization in the calculation of Rule 605 statistics. In the process of calculating Rule 605 statistics, firms must use the quote prevailing at the time the

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2315 See supra Section V.B.2(f).

2316 See supra Section V.B.2(f) for a discussion of these adaptations to deal with multiple NBBOs.

2317 See supra Section V.B.2(f) for additional discussion of this point.

2318 See supra Section III.B.10(d) for a discussion of the comments on impact of multiple NBBOs on surveillance and enforcement.

order is received. As discussed above, it is inevitable even today that different market centers will have different quotes in the space of small but meaningful time intervals given the amount of time it takes new quotes to travel to the geographically dispersed data centers where orders are received.[2319] This remains true even if all market participants are using only a single source for the NBBO.

The Commission does not believe that it is possible to "calculate" the NBBO in more than one way. That is, we do not believe that, for a given set of quotes in the market at a given instant in time, it is possible to arrive at different conclusions as to what is the NBBO depending on different methods for determining the NBBO. Therefore, differences in aggregation methodology employed by competing consolidators and self-aggregators are unlikely to introduce further differences in the NBBO perceived by the various market participants by offering alternative "calculations" of the NBBO for a given moment in time.

The Commission does not believe the decentralized consolidation model will cause confusion for investors through the propagation of multiple NBBOs. Those investors who have the technology and sophistication to detect differences in the NBBOs produced by different competing consolidators are, today, already aware of the potential for such differences and how to deal with them. On the other hand, those investors who typically do not have such latency-sensitive concerns (such as retail investors) are unlikely to detect differences in quotes, even if they are looking at multiple competing consolidator feeds.

[2319] See supra Section V.B.2(f).

The Commission does not believe that the decentralized consolidation model will complicate and increase the cost of complying with best execution obligations through the propagation of multiple NBBOs. Since multiple NBBOs from different competing consolidators and self-aggregators will not represent a change from current market practice, [2320] the Commission does not believe this introduces changes to the cost of compliance with best execution obligations.

(e) Economic Effects of Competing Consolidators Being Subject to Regulation Systems Compliance and Integrity

During the initial transition period all competing consolidators will be subject to the requirements of Rule 614(d)(9), which include requirements substantially similar to some of the key provisions of Regulation SCI.[2321] After the initial transition period, competing consolidators that are below the five percent (5%) market data revenue threshold will continue to be subject to Rule 614(d)(9), while competing consolidators above the threshold will be "SCI competing consolidators" and will be subject to the requirements of Regulation SCI.[2322] The Commission expects that, under this approach, the requirements of Regulation SCI will apply to most competing consolidators following the initial transition period.[2323]

2320 See supra Section V.B.2(f), discussing current market practice with respect to obtaining NBBOs.

2321 See supra Section III.F. Competing consolidators that are affiliated with exchanges that do not operate under the limited exemptive relief would be subject to Regulation SCI. However, the Commission believes that all competing consolidators that are affiliated with exchanges will choose to operate under the limited exemptive relief for competitive reasons. See supra Section V.C.2(a)(i)a.

2322 See id.

2323 See supra Section IV.G.

The Commission believes that the requirements of Rule 614(d)(9) and Regulation SCI will help prevent market disruptions due to one or more competing consolidators' systems issues or cybersecurity incidents and reduce the severity and duration of any effects that may result if a systems issue or cybersecurity incident were to occur for a competing consolidator. The requirements of Rule 614(d)(9) will also impose direct and indirect costs on various entities. The requirements of Regulation SCI will also impose additional direct and indirect costs on competing consolidators that meet the threshold for being an SCI competing consolidator, as well as some indirect costs on other market participants because of their specific business relationships with SCI competing consolidators. However, competing consolidators will not need to incur the incremental costs associated with being an SCI competing consolidator until the end of the initial one year transition period or until they meet the threshold requirements for being an SCI competing consolidator.

(i) Benefits to Expanding Regulation SCI to Include Competing Consolidators

Currently, the exclusive SIPs are SCI entities and the benefits discussed in Regulation SCI currently apply to them and to market participants.[2324] Because many of the requirements of Rule 614(d)(9) are similar to the requirements of Regulation SCI and because competing consolidators that meet the five percent (5%) market data revenue threshold will be SCI entities,[2325] the Commission believes that the benefits of Regulation SCI will apply to competing consolidators and will continue to apply to market participants, i.e., maintain the status quo, if the exclusive SIPs cease operating as exclusive plan processors. This section discusses the

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2324 See SCI Adopting Release, supra note 1233, at 72404.

2325 See supra Section III.F.

benefits that will apply to competing consolidators and will continue to apply to market participants from the requirements of Rule 614(d)(9) and the addition of the definition of SCI competing consolidator to Regulation SCI.[2326]

The Commission believes that at least three benefits from Regulation SCI will continue to apply to market participants from the requirements of Rule 614(d)(9) and the addition of the definition of SCI competing consolidator to Regulation SCI.[2327] First, the requirements of Rule 614(d)(9) and the addition of the definition of SCI competing consolidator to Regulation SCI will help prevent market disruptions due to one or more competing consolidators' systems issues or cybersecurity incidents. Second, they will help reduce the severity and duration of any effects that may result if a systems issue or cybersecurity incident were to occur for one of these competing consolidators. This may also help prevent potential catastrophic events that might start out as a minor systems problem but then quickly spread across the national market system, potentially causing damage to market participants, including investors. Third, they will help ensure effective Commission oversight of competing consolidators' systems.

2326 More specifically, the benefits discussed in this section are not measuring a change from the baseline but are discussing the benefits that will continue to apply to market participants from the requirements of Rule 614(d)(9) and the addition of the definition of SCI competing consolidator to Regulation SCI.

2327 As discussed in detail above, the Commission believes that some entities who will become competing consolidators are already subject to Regulation SCI. The Commission believes that many of the benefits described below will not apply to these entities, because they already are required to have systems that meet the requirements for Regulation SCI. Instead, the Commission believes that many of the benefits from the requirements of Rule 614(d)(9) and the addition of the definition of SCI competing consolidator to Regulation SCI will come from new entities who become competing consolidators who are not currently subject to Regulation SCI. See supra Section IV.F.4.

First, the requirements of Rule 614(d)(9)(ii) and the addition of the definition of SCI competing consolidator to Regulation SCI will help prevent market disruptions by strengthening the infrastructure and improving the resiliency of the systems of new competing consolidators who are not currently SCI entities.[2328] The Commission believes that some potential new competing consolidators may already have policies and procedures in place to maintain and test critical systems. However, the Commission believes that requirements of Rule 614(d)(9)(ii) and the addition of the definition of SCI competing consolidator to Regulation SCI will strengthen these policies and procedures, which will help improve the robustness of critical systems.

Second, the requirements of Rule 614(d)(9)(iii) and the addition of the definition of SCI competing consolidator to Regulation SCI will help reduce the severity and duration of any effects that may result if a systems issue or cybersecurity incident were to occur for one of the new competing consolidators who are not currently SCI entities. For example, Rule 614(d)(9)(iii) and Rule 1002(a) of Regulation SCI, will require a competing consolidator to notify the public and take corrective action if a system disruption, system intrusion, or cybersecurity incident occurs. This may reduce the length of these events and thus reduce the negative effects of those interruptions on the competing consolidator and market participants.

Additionally, Rule 1001(a) (2) of Regulation SCI, which, among other things, will require an SCI competing consolidator to maintain geographically diverse backup and recovery systems that are reasonably designed to achieve next business day resumption and will help SCI competing consolidators restore their systems more quickly in the event of a disruption. The Commission acknowledges that Rule 614(d)(9) does not contain this geographically diverse

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[2328] Commenters agreed that applying Regulation SCI to competing consolidators would improve their resiliency and reliability. See, e.g., Clearpool Letter at 9; MEMX Letter at 8; Fidelity Letter at 10.

backup requirement. Therefore, competing consolidators will not be subject to the requirement during the initial one year transition period and competing consolidators below the SCI threshold level will not be subject to it thereafter. Lack of a geographically diverse backup may reduce the reliability of a competing consolidator's systems. However, as discussed above, because of competitive pressures, competing consolidators that are not subject to Regulation SCI may still choose to develop robust backup systems in order to attract subscribers.[2329] Additionally, the Commission believes most competing consolidators will meet the threshold to be SCI competing consolidators. Therefore, the Commission does not believe that the lack of a requirement for a geographical diverse backup system under Rule 614(d)(9) will significantly increase the risk of market participants being exposed to a competing consolidator system disruption.[2330]

The requirement for competing consolidators to establish procedures to disseminate information about system disruptions to responsible personnel, competing consolidator subscribers, the public, and the Commission will help reduce the duration and severity of any system distributions that do occur for one of the new competing consolidators who are not currently SCI entities. The procedures will help these competing consolidators quickly provide the affected parties with critical information in the event that it experiences a system disruption. This could allow the affected parties to respond more quickly and more appropriately to the incident, which could help shorten the duration and reduce the effects of a system event. This could also potentially help prevent an event that might start out as a minor systems issue from

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2329 See supra Section III.F.

2330 As discussed above, market participants who subscribe to a competing consolidator that is not an SCI entity (or that does not have a sufficiently resilient backup system) may choose to subscribe to another competing consolidator as a backup in order to ensure they can still operate if their competing consolidator experiences a system disruption. See id. Market participants may incur additional costs for this. See supra Section V.C.2(d).